

LNG Shipping - Quarterly Report Q1 2025

Apr 4, 2025

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Summary

The year began with a steady descent as usual at the start of the year, although somewhat unusually this market softening came after a relatively flat winter. This resulted in historically low rates, which have since recovered slightly. There hasn't really been a significant change in the fundamentals to support the uptick, and it is clear that the rate floor was an undershoot which was not sustainable in the longer term despite the oversupply of tonnage and additional newbuild deliveries. The main drive for the recovery has instead been a shift in shipping portfolio management and sublet availability, mainly due to the start-up of long-term volumes from Calcasieu Pass. This, in combination with a very quick ramp-up of volumes from the newly commissioned Plaquemines project, has driven some demand for two-stroke ships while reducing sublet availability, but newbuilds have continued to deliver at a pace greater than the market's ability to absorb the increased demand. In addition to Plaquemines, Corpus Christi Stage 3 has also started commissioning and, with limited outages, March saw a new record in loaded LNG, with nearly 39 MT lifted.

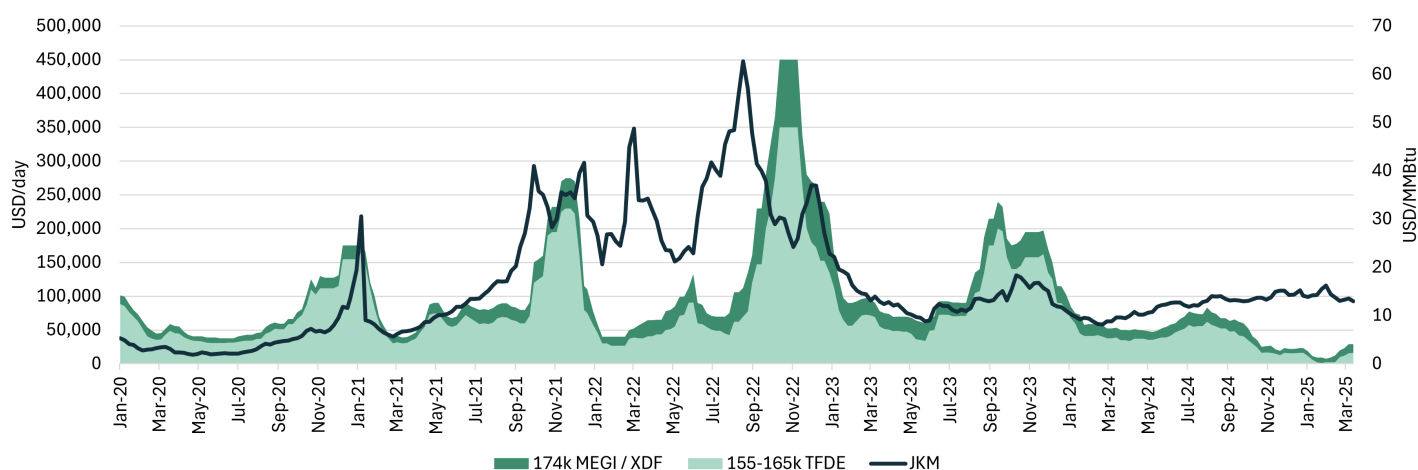
Cargo values increased at the start of the quarter, with JKM reaching 17 \$/MMBtu in the beginning of February. This was a result of strong bidding competition from the Asian market, and significant gas withdrawals from European storage due to cold weather. The arbitrage has largely been shut, with European storage levels well below the 5-year average and ending the quarter 25% less full than same time last year.

Liquidity has continued to be high, with well over 100 spot fixtures concluded. This is the highest in our records, and shows both a large fleet to play with and high availability and sublet willingness, coupled with a long list of requirements. 72% of short-term fixtures were sublets, which is about the same level as the previous quarter.

16 LNGCs were delivered in Q1, slightly less than originally planned, and down from the 20 delivered in Q4 last year. That leaves another 79 for the remainder of the year given current schedules (of which nine are for Arctic LNG-2). The LNGC fleet on the water has exceeded 700 ships, with 685 live and 19 in layup (a big increase from the 6 in layup at the start of the year). Three orders were placed, and three vessels were sold for demolition. Interestingly, the two latest vessels sold for demolition were delivered in 2002 and 2004, meaning they were 23 and 21 years old, respectively. This shows the increasing difficulty for smaller steam turbine ships to find employment after their long-term charters end, and that owners increasingly choose to avoid the high layup costs and potential 25-year drydock costs when the prospects for future business are limited.

Despite the new administration in the United States greenlighting several projects throughout the quarter, there haven't been any project FIDs. This proves that there is more to an FID than just approvals for exports, and SPAs play a major role here. With the big demand growth forecasted from China over the next 10 years, the tariff on US LNG is not a supporting factor for the considerable number of US projects hoping to reach FID in the near term.

Spot charter rates and JKM



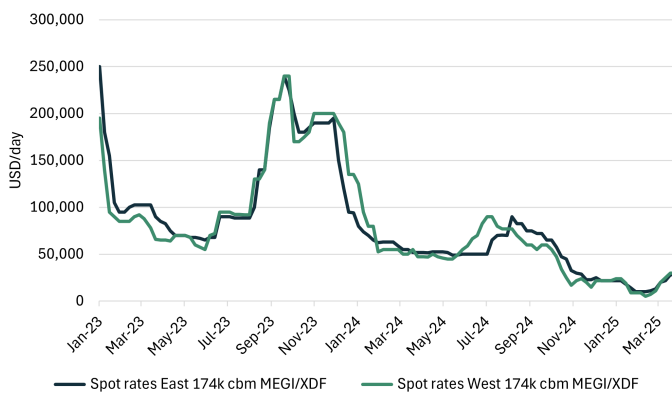
Source: JKM for S&P Global Platts

Charter Rates

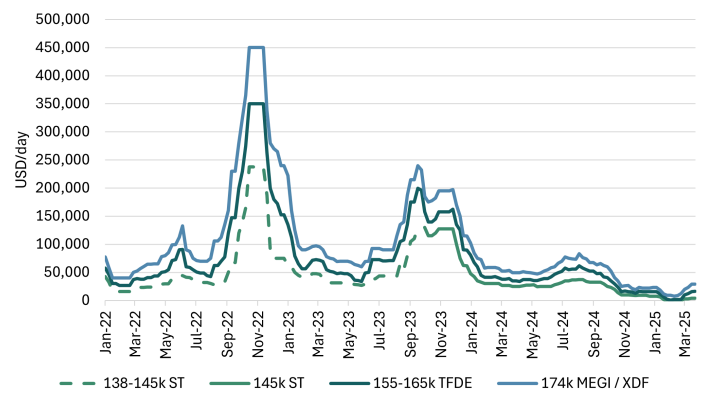
The average spot rate for a two-stroke in Q1 ended at 17k \$/day, which is a mere 26% of the same measure in Q1 last year. The year started with average rates in January at 17k \$/day and ended at a monthly average of 23k \$/day in March, inverting the normal trend for which this period typically sees rates on a downward slide. While we believe the undershoot at the start of the year was "too low" to be sustainable, from a fundamental perspective there are not many factors that would support a continued increase in rates as we head into the shoulder season. The situation was worse for TFDEs, with Q1 rates averaging at 8.7k \$/day, only 18% of the year before and including close to zero in February, driven by extremely low demand. There have been a handful of TFDEs idling at the start of the year, rumoured to be heading to layup. However, these vessels are trading again now, and there is no doubt that while the preference for two-strokes increases, the TFDEs are still needed.

1-year term charter rates are currently in the low-mid 30ks \$/day range for a two-stroke, indicating that the market expects the current oversupply to continue near term. Looking longer term, it is still the case that charters giving coverage for 2028+ are at a premium, with 3-year rates around 50k and higher for longer periods out to the end of the decade. However, liquidity in this segment remains low. With close to no newbuilds ordered, the long-term market also remains very illiquid although a slight softening of newbuild prices may encourage more activity.

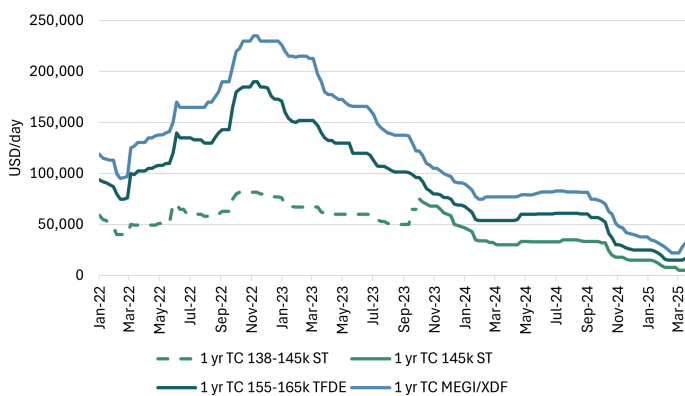
Two-stroke spot charter rates (East/West)



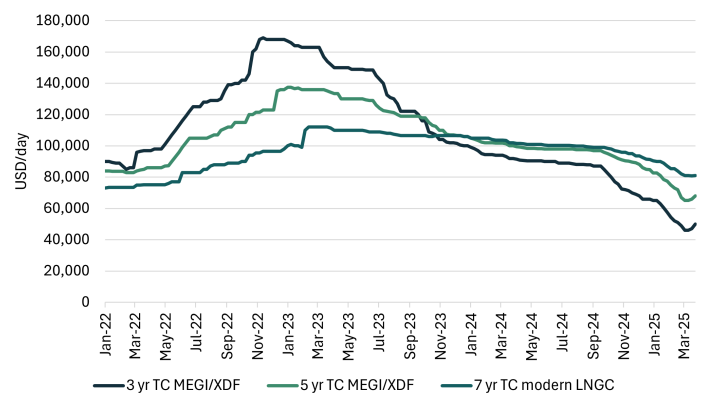
Average spot charter rates



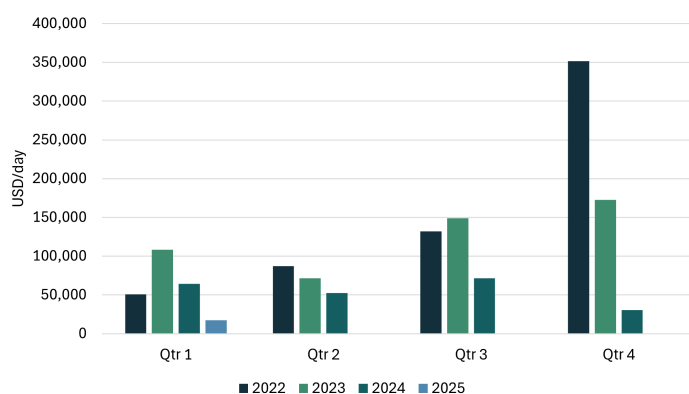
1-year charter rates



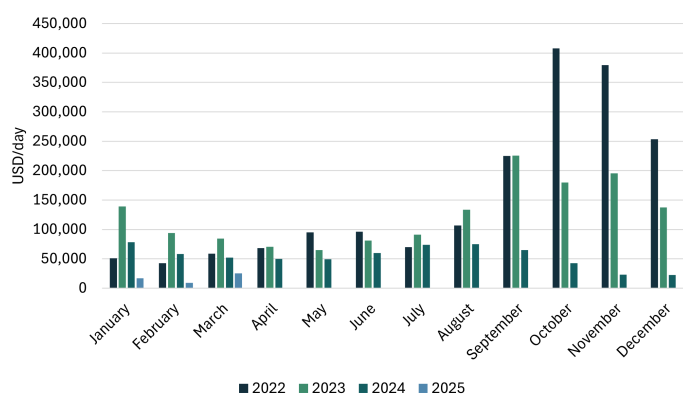
Term charter rates (two-stroke)



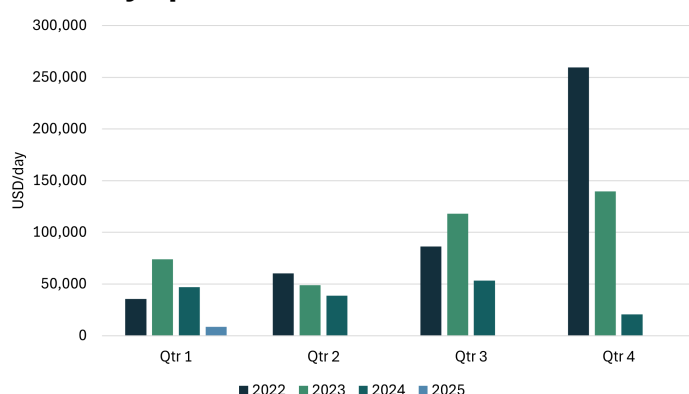
Quarterly spot charter rates (two-stroke)



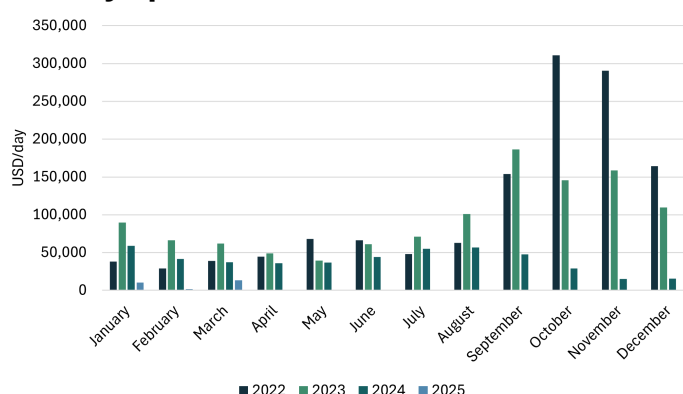
Monthly spot charter rates (two-stroke)



Quarterly spot charter rates (TFDE)



Monthly spot charter rates (TFDE)



Chartering Activity

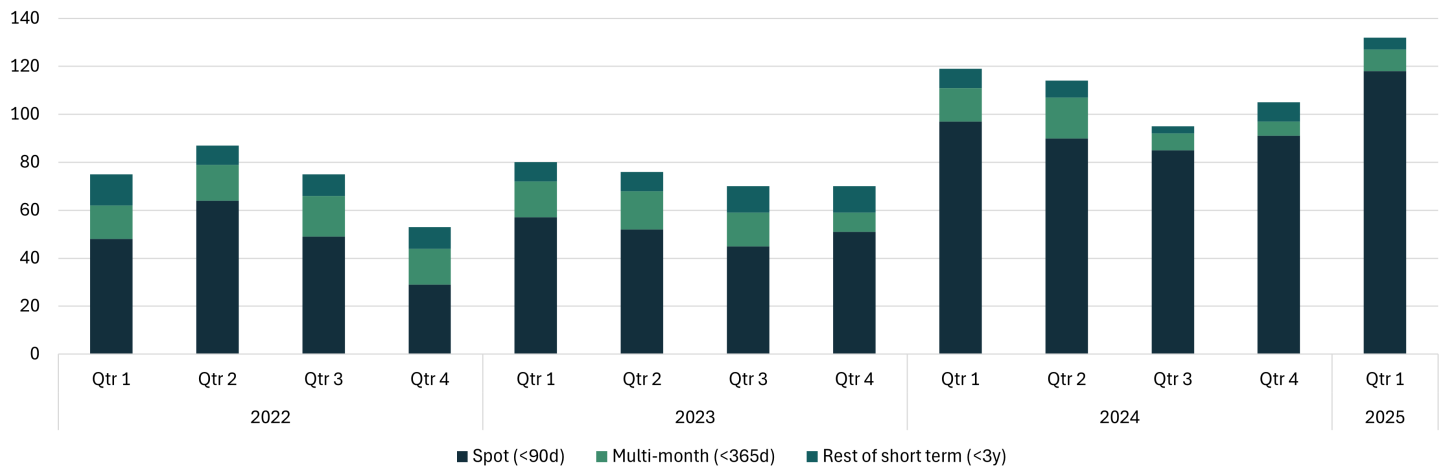
The quarterly number of spot fixtures was the highest in our records, with almost 120 fixtures concluded. The spot fixture count increased by 18% from Q1 last year, and the number of fixed days (spot only) increased by 43%. Comparing to the previous quarter (Q4, 2024), the number of fixtures increased by 33%, while fixed days increased by 111%. It is therefore clear that fixture durations for spot fixtures so far this year have been higher than in 2024.

Multi-month fixing has been about the same as the previous quarter, but less than Q1 in previous years. The story is the same for other short term fixtures up to 3 years, with only a handful of deals concluded. The share of fixtures involving independent owners compared to sublets has gradually increased since the start of 2024, and in Q1 73% were sublets (about the same as in Q4).

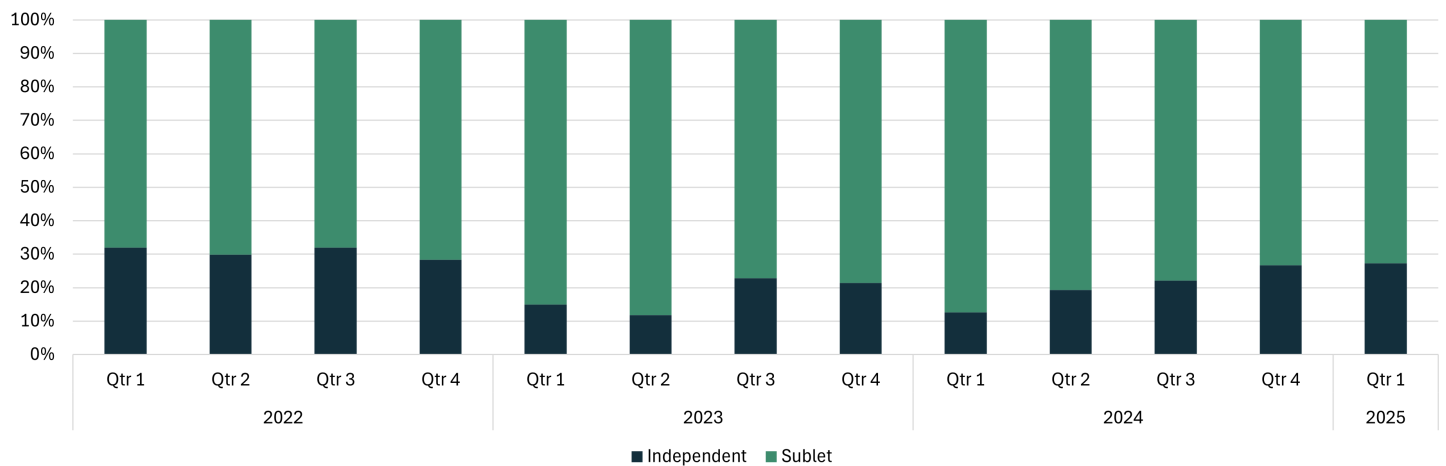
The number of 3-5 year deals concluded has been on a decreasing trend since end of 2023, likely as a result of the low spot charter rates and a lot of charterers being long shipping. It is also difficult to bridge the bid-offer gap as charter periods extend into the anticipated stronger years. Few long-term requirements and low ordering activity has meant no long-term deals have been concluded.



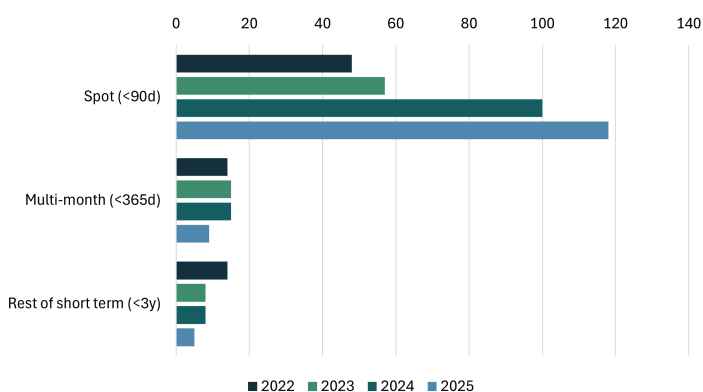
Short-term fixture activity (< 3 years)



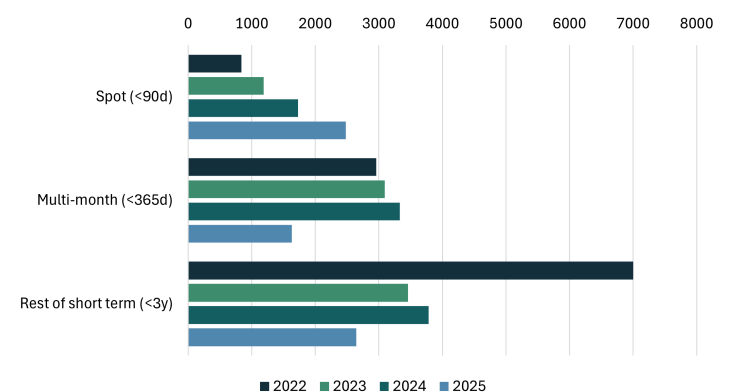
Short term fixtures by sublet vs independent owners



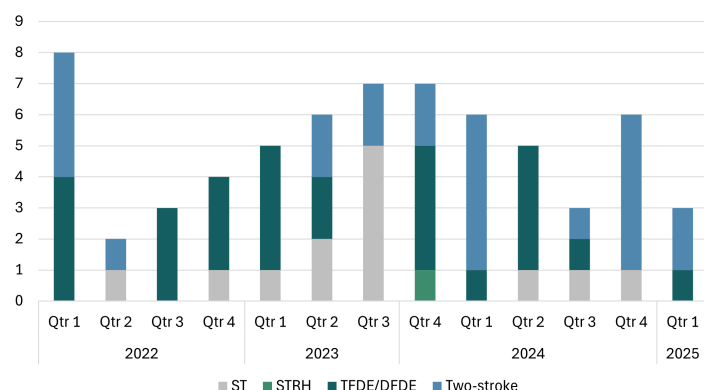
Short-term fixtures Q1 (count)



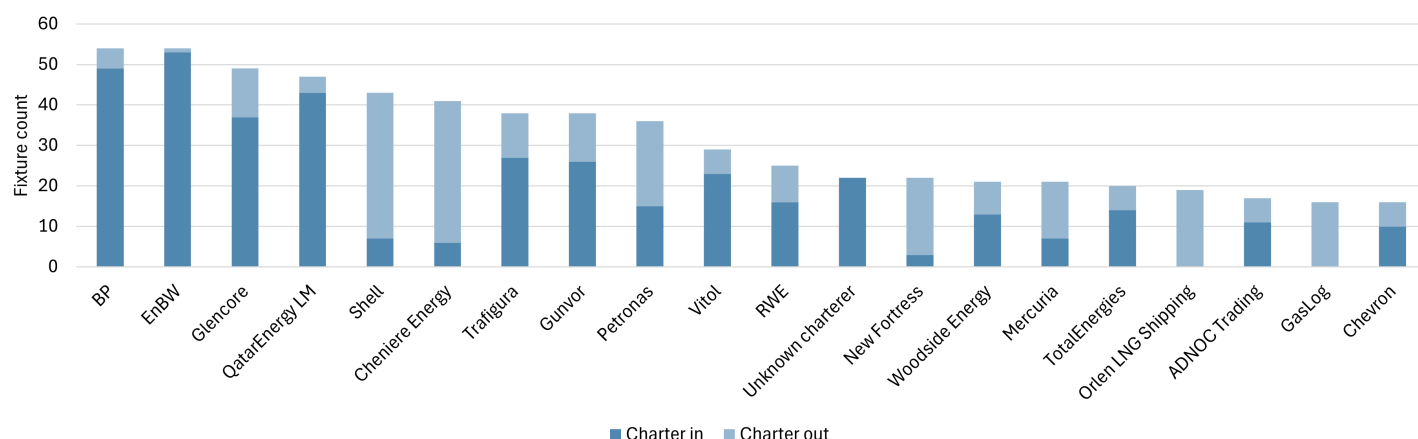
Short-term fixtures Q1 (fixed days)



1-year term deals



Top companies 2024-2025 (< 3 years)



Trade Flows

109 MT of LNG was loaded in Q1; the highest ever. This has been strongly supported by commissioning of the Plaquemines liquefaction plant in the United States, which has loaded 29 cargoes throughout the quarter. A total of 39 MT was loaded in March, which is also a new monthly record. The United States continues to be the largest exporter, and at 26 MT they closed the quarter 4.4 MT higher than the next highest exporter, Qatar. Japan was the top importer, taking 18 MT which is almost 3 MT more than China. European imports reached a new record, with 37 MT discharged, which was almost 10 MT more than Q1 last year.

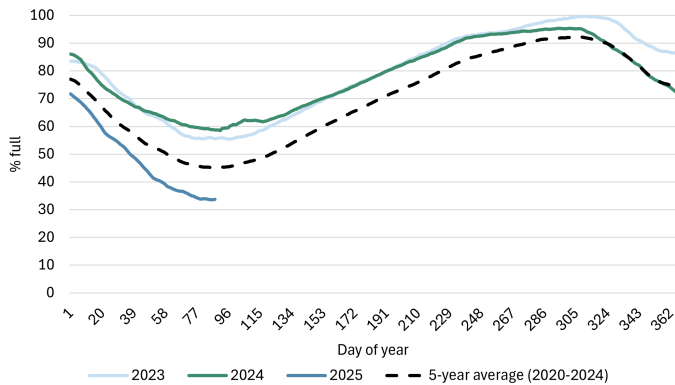
Red Sea transits remain largely off-limits for LNGCs, only one ship doing the full transit. That means that number of voyages around the Cape of Good Hope remain high, especially as the share of Qatar cargoes heading to Europe increased from 12% in January, to almost 15% in March. Of the 51 cargoes that went from the US to Asia in Q1, only 5 transited the Panama Canal, and 4 transits were registered on the ballast voyage.

Europe started the year by importing 69% of all US cargoes, and in March that had increased to a share of 83%. Thus, the arbitrage has been far from open, and Europe has won the fight for cargoes despite the low additional shipping cost to go to Asia. Distances have therefore been decreasing throughout the quarter, but the high levels of traded LNG have kept tonne-miles slightly above last year's levels. Speeds have been the lowest seen in years, and February saw a significant number of vessels idling, so tonne-time has also increased slightly. Looking at speeds by propulsion though, it is clear that the steamers are the main contributor to the average fleet speed reductions, and 2-stroke speeds are very much in line with last year's levels.

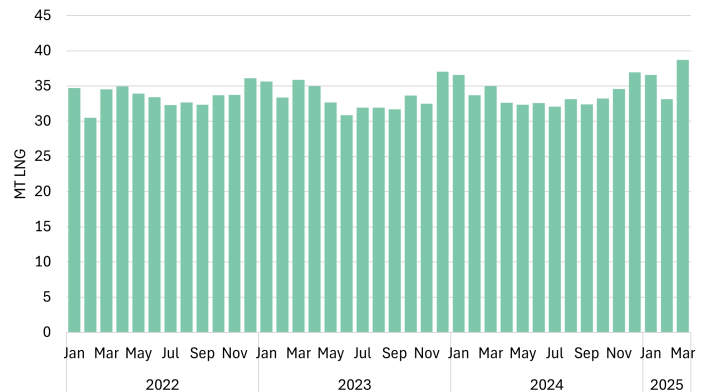
Looking at tonne-miles by propulsion, it is only the 2-strokes that are doing more work than in Q1 last year (naturally, as this is the only segment of the fleet that is growing). However, the steam turbine fleet did 23% less tonne-mile work

this year than last year, while scrap activity only reduced the fleet size by 8%. For 2-strokes, the fleet was 31% larger in in cargo carrying capacity (in cbm) at the end of March compared to last year, and tonne-mile grew around the same amount, 30%. This does indicate an underutilized fleet, with the fleet growing quicker than the tonne-mile demand, especially for older tonnage. This should, and has, triggered layup activity.

EU storage levels

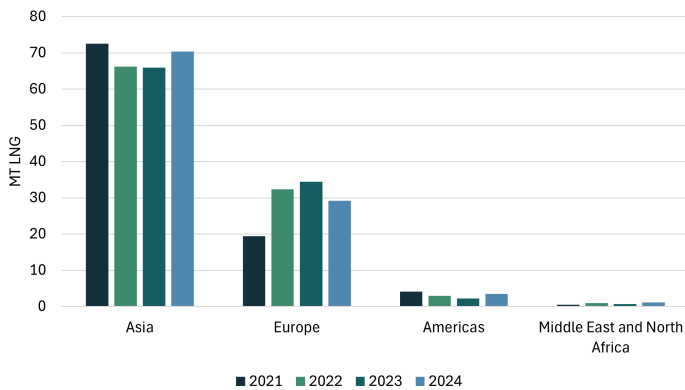


Loaded LNG

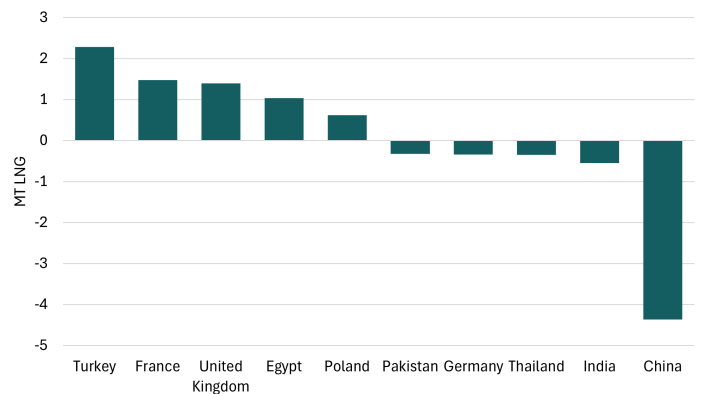


Source: left: AGSI, right: Vortexa

Q1 imports by region



Q1 YoY change in imports by country (top and bottom 5)



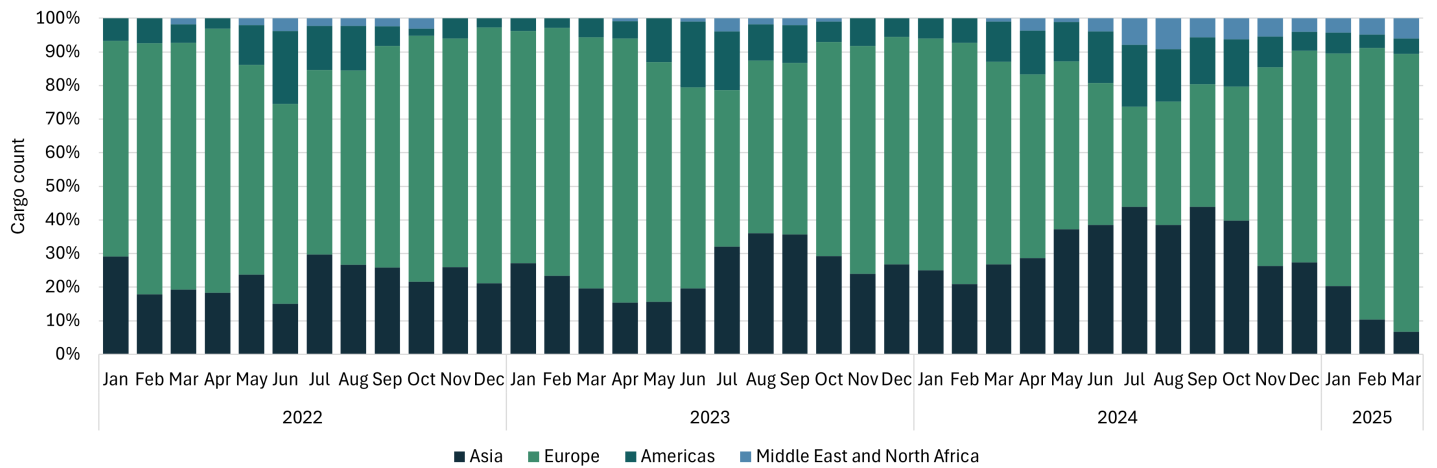
Source: Vortexa

Q1 YoY change in tonne-miles and fleet size as of end-March (cbm)



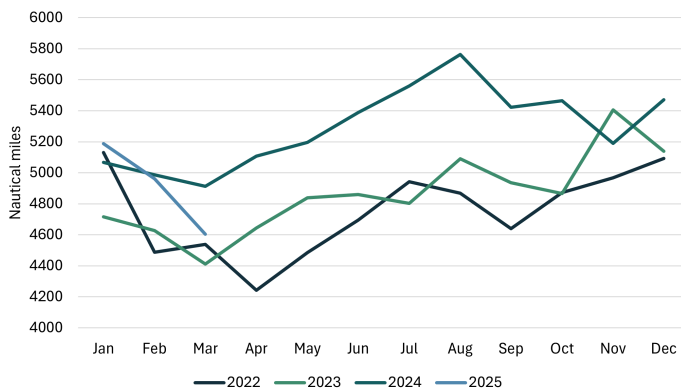


Destination of US LNG



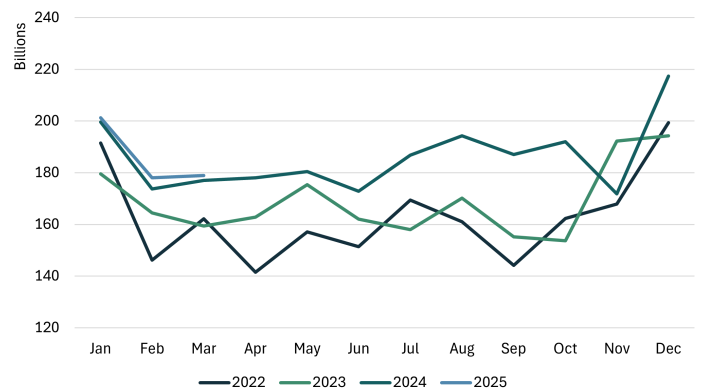
Source: Vortexa

Average fleet distance (laden)

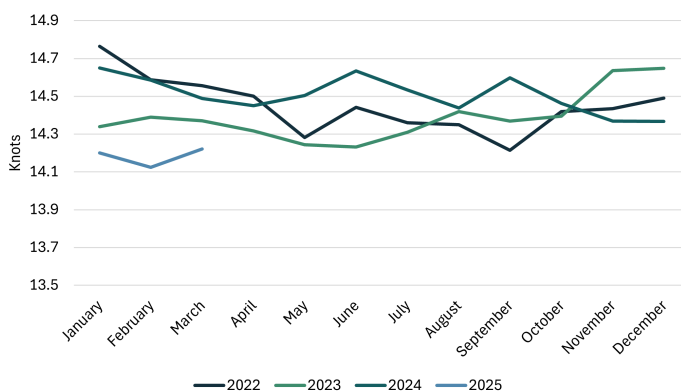


Source: Vortexa

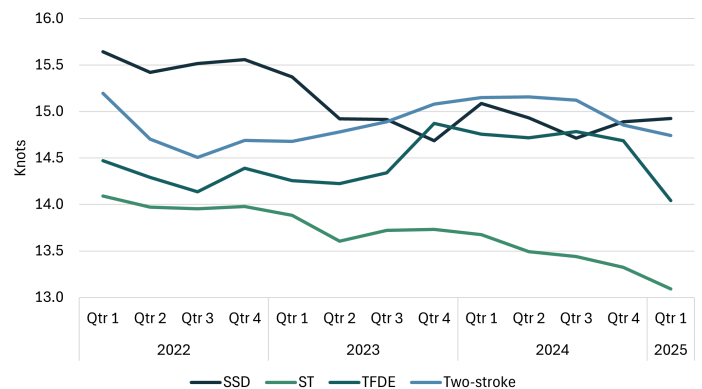
Tonne-miles



Average fleet speed (speeds > 6 knots)



Average fleet speed by propulsion (speeds > 6 knots)



LNGC Fleet

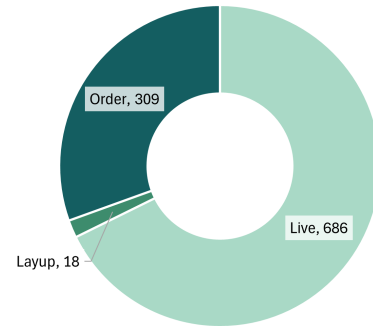
The 16 LNGCs delivered in Q1 brings the total fleet on the water to 704 ships. However, with the 18 in layup, the "live" fleet stands at 686. The slow-down in ordering and quick

deliveries has brought the orderbook-to-fleet ratio down to 45%. Only three orders were placed.

LNGC fleet by status

78 vessels are still scheduled to be delivered in 2025, of which nine are Arc-7s originally intended for Arctic LNG-2, and whose delivery is continuously pushed. Excluding those, the delivery schedule is currently 20, 23 and 26 ships respectively for each remaining quarter of the year, bringing the yearly total to 85.

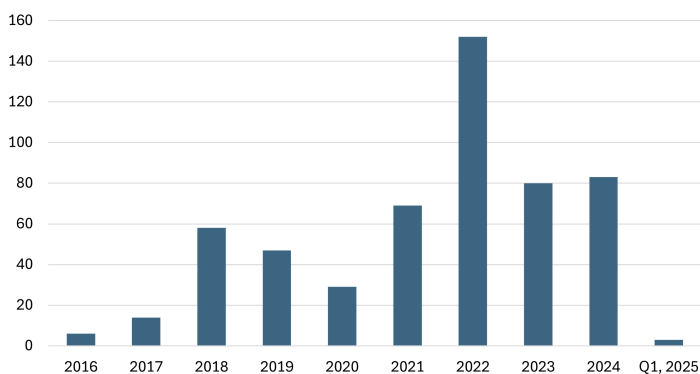
91 ships are currently on order in China, almost 30% of the orderbook and spread across six yards (although more than 60% are at Hudong-Zhonghua). 27 ships in the orderbook are charter-free, with three delivering this year, 11 in 2026 and 13 in 2027. 14 LNGCs ordered for Qatar Energy (North Field Expansion and Golden Pass) have already been delivered, leaving an orderbook of 114 (36% of the total orderbook), to be delivered between now and 2031.



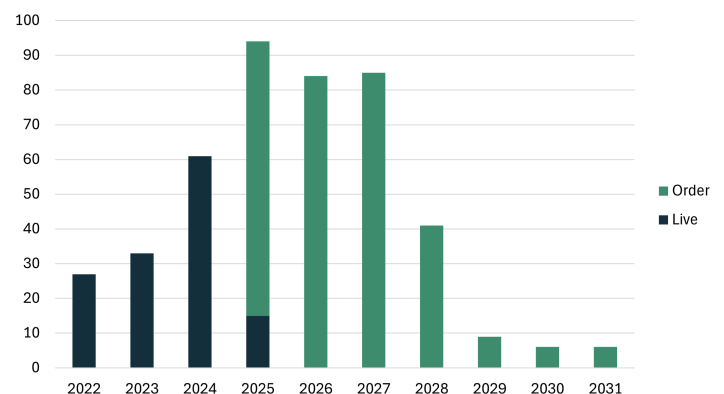
The yards are now full until the end of 2027, and 2028 is now the earliest slot available for LNGC delivery. The orderbook for 2028 would currently add 41 vessel; less than half of the year before. There are therefore still numerous slots available for delivery 2028, but for a rebalanced shipping market the orderbook should not fill to 2025-2027 levels.

Three vessels were sold for recycling in Q1, and if this pace continues, that could bring the yearly total to a record high. It is interesting to see that younger ships are sold for scrap, with the latest being 2004-built. Historically, LNGCs have been scrapped at 35-40 years old. As selling for scrap is a big step, we have also seen the oversupplied market result in increasing idling and layup activity. We foresee that some ships from this pool of vessels will also be sold for recycling in the near term, as layup costs continue to run and the question of expensive drydocks comes up. There are unfortunately not enough projects for all the underutilized vessels right now.

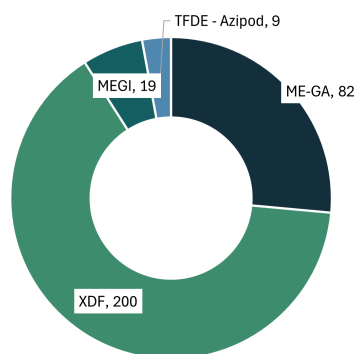
LNGC orders



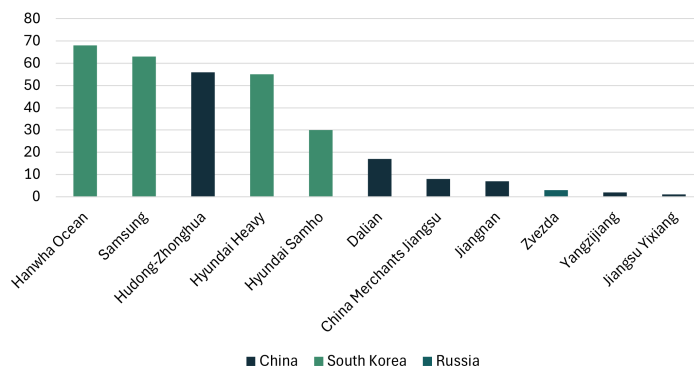
LNGC deliveries



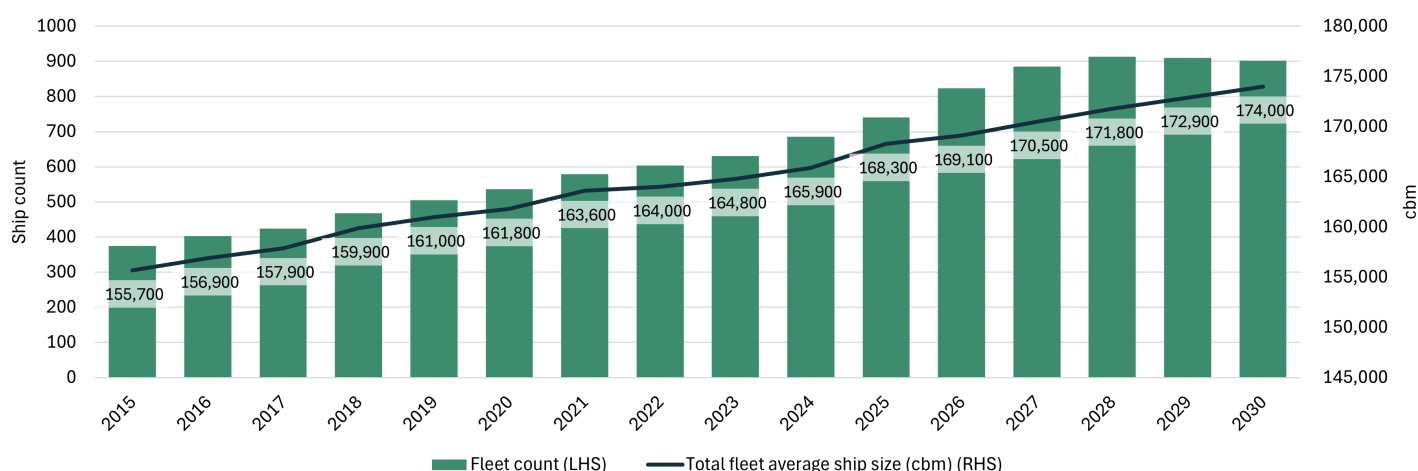
Orderbook by propulsion



Orderbook by yard



Fleet growth and fleet average ship size (considering current orderbook and phase-out at 25 years)



Outlook

While there is little doubt that, near term, the orderbook is more than enough to cover growth in demand coming from new projects, the questions to ask are what could tighten the market? As always, trade flows matter, and an open arbitrage and more long-haul trade from the US Gulf to Asia would be a significant tightening factor; however, if Europe's gas storage refilling targets remain then European demand this refilling season will be high. Another factor is whether the ships ordered to serve Qatar North Field Expansion, and Qatar Energy's share in Golden Pass, will be made available in the market when vessel deliveries occur earlier than volume start-ups. 14 vessels have been delivered, with 21 additional ships expected this year, while volumes from Golden Pass and Qatar are expected from early next year. If, instead of adding to global fleet availability, these vessels idle or replace old vessels serving Ras Laffan (which then proceed to idle/layup/scrap), that would help the rebalancing of the shipping market. However, the effect of this is mainly in 2025, before the volumes from Golden Pass and North Field Expansion come online.

Another question arises around the age at which LNGCs will be scrapped? We believe the days of scrapping at 35 years are over, and anticipate 25 years as being a new realistic normal, due to factors such as size, environmental regulations, drydock schedule and age restrictions at terminals. However, if this age comes down to 20 years, that would significantly reduce the fleet capacity, as there are nearly 90 ships that are already 20 years old or more, and there are 40 ships turning 20 in 2025 and 2026. While it is unrealistic to be a new normal for all LNGCs, a quick look at the list of idle/laid up ships and their ages, yields an average of around 20 years.

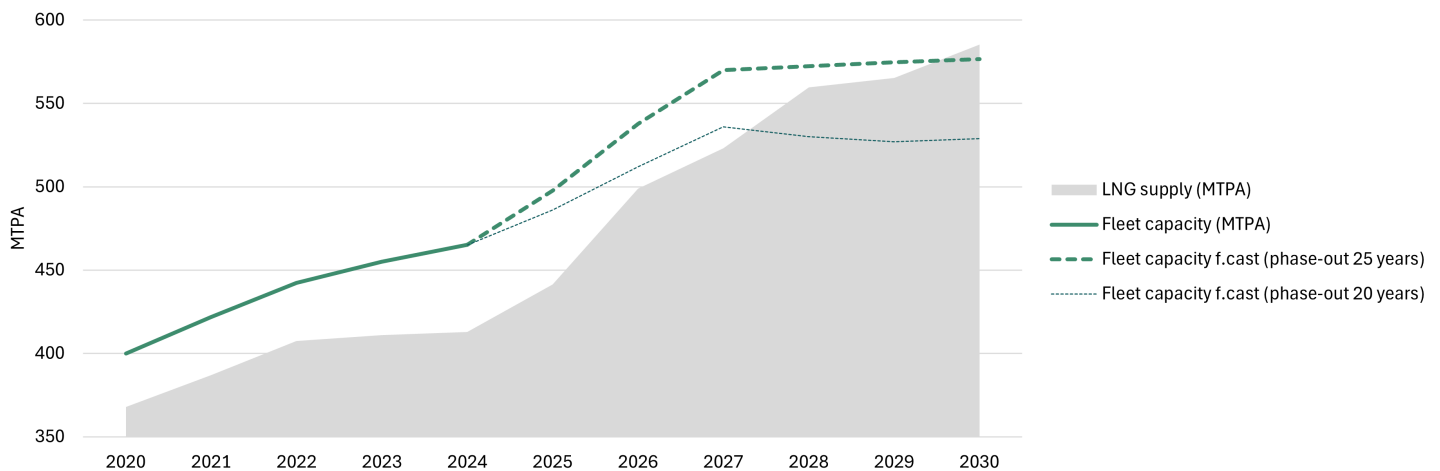
Looking further ahead, FIDs will play an important role. While the new administration in the US has greenlighted several projects, it has yet to result in FIDs. Looking at LNG demand forecasts for 2030, there is a gap and more FIDs will be

needed. However, adding up the capacity of projects previously considered realistic candidates for FID in the near term by far exceeds the demand gap in 2030. It will also be interesting to see whether Chinese players, whose demand is forecast to increase massively over the next 15 years, choose to sign SPAs with non-US projects to avoid the 15% tariff on US LNG, which looks like it just increased to 34%.

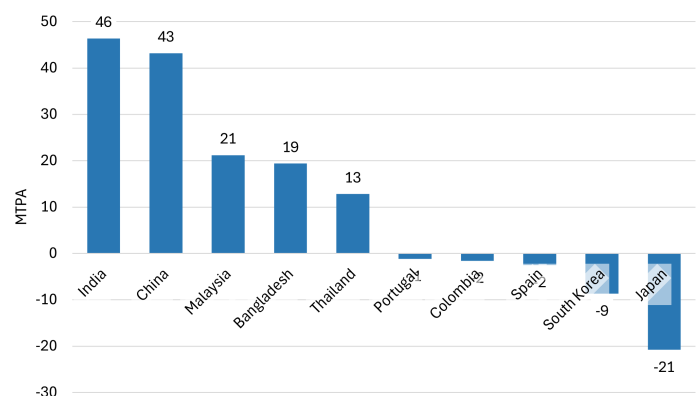
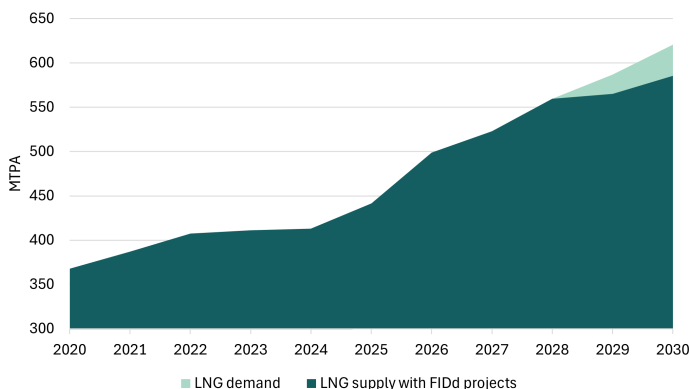
Speaking of tariffs, if the US go through with the proposed regulations that introduces fees on all ships entering US ports if the vessel is built in China, or is operated by a company who has ships built or on order in China, the effect on the LNGC fleet could be material. It is unclear how this regulation would define “operator”. There are many LNGC shipowners who don’t have any LNGCs built or on order in China, but a lot of the major owners have vessels in other segments, where Chinese-built ships are more common. Assuming owners will be considered across all segments, the effect would be huge and the number of LNGCs able to trade tariff-free from the US would be small.

Looking at the supply/demand balance, our conclusion remains that there is shipping oversupply in the next 3 years given the current project and orderbook schedules. 2026 should see some tightening, due to the high number of projects scheduled to come online. It is not until end-2028 that additional ships will be needed to avoid undersupply. Worth noting though, is that both additional volumes through new FIDs and additional vessel deliveries are possible by end of 2028. We forecast that average shipping distances will continue to increase, as more US volumes come online. While European demand looks high in the near term, European demand growth is expected to be slower than the growth in US volumes over the next few years. This means more US-to-Asia voyages, which likely add significant voyage distances as the Panama Canal remains under-utilised. In short: tonne-mile demand through volume growth and longer distances will drive the need for a continued growth in the LNGC fleet, despite the near term oversupply.

Fleet balance at end-year (at different phase-out ages)



FIDd LNG volumes vs forecasted LNG demand Demand change by country in 2024 to 2040 (top and bottom 5)





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